Notes to the Consolidated Financial Report
30 June 2019
(continued)

11 Intangible assets (continued)

Movements	Rights and licenses $'000	Internally generated software $'000	Software under development $'000	Total $'000
At 30 June 2019				
Cost	13	12,961	16,284	29,258
Accumulated amortisation	-	(5,580)	-	(5,580)
Net book amount	**13**	**7,381**	**16,284**	**23,678**
30 June 2018				
Opening net book amount at 1 July 2017	43	442	8,053	8,538
Additions – externally acquired	13	-	5,253	5,266
Additions – internally developed	-	-	1,256	1,256
Amortisation	(43)	(1,746)	-	(1,789)
Transfers	-	7,563	(7,563)	-
Transfer between classes	-	744	-	744
Disposals	-	(618)	(490)	(1,108)
Closing net book amount	**13**	**6,385**	**6,509**	**12,907**
At 30 June 2018				
Cost	104	9,555	6,509	16,168
Accumulated amortisation	(91)	(3,170)	-	(3,261)
Net book amount	**13**	**6,385**	**6,509**	**12,907**

(a) Intangible assets

RIGHTS AND LICENCES

Certain licences that NEXTDC possesses have an indefinite useful life and are carried at cost less impairment losses and are subject to impairment review at least annually and whenever there is an indication that it may be impaired.

Other licences that NEXTDC acquires are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over the estimated useful life. The estimated useful life and amortisation method are reviewed at the end of each annual reporting period.

INTERNALLY GENERATED SOFTWARE

Internally developed software is capitalised at cost less accumulated amortisation. Amortisation is calculated using the straight-line basis over the asset's useful economic life which is generally two to three years. Their useful lives and potential impairment are reviewed at the end of each financial year.

SOFTWARE UNDER DEVELOPMENT

Costs incurred in developing products or systems and costs incurred in acquiring software and licenses that will contribute to future period financial benefits through revenue generation and/or cost reduction are capitalised to software and systems. Costs capitalised include external direct costs of materials and services and employee costs.

Assets in the course of construction include only those costs directly attributable to the development phase and are only recognised following completion of technical feasibility and where the Group has an intention and ability to use the asset.